

No live IBKR data this session — `search_contracts` and `get_account_positions` were both denied (non-interactive; the OAuth/permission prompt can't run here). That's the same coverage gap both benches reported, and I've flagged it inside the deck rather than papering over it. The tape below is the evidence pack's, cross-checked against red's independent Yahoo re-fetch.

PITCH — 2502.T — PROPOSED — PENDING ADJUDICATION

NO ENTRY. We are flat, on a named kill: Asahi is not a non-alcoholic-substitution vehicle — its own monthly numbers show the non-alcoholic line growing ~5% on a base under 2% of the group — and at ¥1,653 the stock is fairly priced, so this is a rejection of our thesis, not a short.

What we believe

The idea we came in with was simple: Japanese drinkers are switching from beer to zero-alcohol beer, that switch is early and under-observed by Western investors, and Asahi — the biggest Japanese brewer, with the leading zero-alcohol beer brand (Dry Zero) — is the listed way to own it.

After the court, here is what we actually believe:

1. **The consumer observation is probably real. The investment vehicle is wrong.** The product that prompted this is made by **Suntory Holdings, which is private**. There is no listed way to own that specific business. Asahi was our substitute, and it does not collect the economics we were trying to buy.
2. **The switch, where we can measure it, is small and slow.** Asahi publishes a monthly volume series. In May 2026 the Dry Zero line printed **105% of the prior year** — i.e. +5%. The broader “beer-adjacent” category, which contains it, ran **+1% in the first half**. Both sit on a base worth **under 2% of a ¥2.4tn company**. Even a doubling does not move the earnings.
3. **The company itself is voting the other way.** Its own results release names **Super Dry (+31%)** and **Peroni (+7%)** — full-strength beer — as the growth drivers. Non-alcoholic is not named as a driver anywhere. And its marginal capital, **US\$2.3bn for 65% of East African Breweries plus a spirits stake**, went into full-strength alcohol in emerging markets at **~17x earnings before interest, tax, depreciation and amortisation**, pushing borrowings to roughly **3.6x earnings** against a stated 2.5–3.0x policy.
4. **The reported growth is currency, not business.** First-half 2026: revenue **+7.7% as reported but –0.6% at constant exchange rates**; core operating profit **+1.5% reported but –8.5% at constant rates**, against a clean pre-cyberattack comparison. For a US-dollar investor that is a flat-to-down business wearing a weak yen as a costume.

5. **Asahi is not, however, a bad company or a short.** It trades at 15.0x trailing and ~12.7x this year's forecast earnings, yields ~3.75%, and sits mid-range in its 52-week band. We have one novel objection to *our thesis*; we have no argued case against *the stock*.

So: flat, with two specific conditions under which we come back — one of which is a completely different thesis that would owe its own court.

What the market believes

- **Sell-side view is constructive-to-neutral.** DBS: HOLD, target ¥1,900 (+15%). Broad consensus average target ¥2,055.8 (+24%). Nobody is bearish.
- **The market believes the guidance.** Full-year 2026 guidance is revenue ¥3,220bn (+11.2% reported, +5.4% at constant currency) and core operating profit ¥291bn (+10.6% reported, +3.2% constant). The stock at 12.7x is priced as if that lands.
- **The market treats the September 2025 ransomware attack as a closed one-off** — ¥17bn of operating profit cost, ¥64.5bn of lost Japanese revenue in Oct–Dec, results delayed five months to July 2026 — and is looking through it to a clean 2027.
- **The market believes East African Breweries is growth, not leverage.** It is generally framed as emerging-market volume expansion rather than as a policy-breaching, litigated, 17x purchase with a 35% minority still outside the tent.
- **The market is not thinking about zero-alcohol at all.** That is not a disagreement we can monetise — it is simply not a line item anyone models, because it isn't big enough to be one.

The single number the market is long: core operating profit **¥291bn / earnings per share ¥130** for 2026. Our own arithmetic says **¥278–290bn excluding the acquisition** — a modest shortfall, not a break.

Why we might have edge

Stated honestly, because most of these are weak:

- **The monthly volume disclosure is a genuinely under-read series.** Asahi publishes Japanese volumes by category every month, roughly the 10th of the following month. Most non-Japanese investors never open it. It gave us a direct, primary-sourced answer that no scraped alt-data channel could — and it is the reason this court reached a clean verdict instead of a hand-wave.
- **No US filings means less machine coverage.** As a Japanese issuer there is no SEC or structured-financial-data footprint, so a lot of automated screening simply doesn't see this company. That is a durable structural gap.
- **The 1 October 2026 tax change is a real fork most models flatten.** Beer duty falls ¥9.10 per 350ml (–14.4%, from ¥63.35 to ¥54.25) while the cheaper “happoshu” and “new-genre” categories rise ¥7.26 (+15.5%) to meet it. Most people are modelling this as a temporary

volume distortion. It is also a **mix and margin event** for whoever has the highest share of real beer — which in Japan is Asahi. That asymmetry is not obviously in the price.

- **We were willing to grade our own thesis against a number that could have killed it in either direction.** Dry Zero at +40% would have made this a buy. It printed +5%. That is what a working process looks like.

And the honest deduction: none of these gave us an edge *on the thesis we brought*. The under-read series told us we were wrong. That is a good outcome and a zero-return one.

Why it might be priced in

- **This is a ¥2.4tn company trading ¥11.6bn (~US\$75–78m) a day.** There is no liquidity-driven neglect here. It is covered by every domestic broker.
- **Everything we found, except one item, was already public and already discussed.** After audit, our kill list is **1 novel finding and 5 consensus findings**. The novel one — that the non-alcoholic line is too small to matter — is a reason not to buy *our story*, not information the market lacks.
- **The tax change was published months ago.** Kirin's price-revision notice went out 20 May 2026; Suntory has publicly responded by upgrading its Kinmugi brand to real beer. Nikkei covered it. Our “under-modelled mix tailwind” may simply be modelled.
- **The acquisition terms have been public since 17 December 2025**, including the price, and the Kenyan litigation has been reported since July 2026.
- **The stock is exactly mid-band:** –13.6% from its 52-week high of ¥1,914, +13.7% off its low of ¥1,452.50. Nothing is dislocated. There is no forced seller, no orphaning, no discovery failure to exploit.

Conclusion of this section: we found no mispricing. We found that we were mispricing it.

What could go wrong

(Pre-mortem. We hold no position, so this covers two distinct failures: being wrong about the conditions under which we would come back, and being wrong to stay out.)

Failure narrative 1 — The pass-through trap (monitorable)

We come back in November because the October volume data shows Japanese beer running +8% or better after the duty cut, and we call it premiumisation. In fact Asahi hands the entire ¥9.10 duty saving to the shelf to buy share from Kirin and Suntory. Volume is up, revenue per litre is down, and gross profit is flat or worse. We bought a price war and called it a mix shift. The stock re-rates on the volume headline in November and de-rates on the margin in the February full-year numbers.

Tripwire: revenue-per-litre and value-per-litre in the October, November and December monthly disclosures, read alongside volume — **volume alone is not a signal**. Confirm at the Q3 print. Kill the re-entry if unit revenue falls more than ~4% (the size of the duty cut at shelf).

Failure narrative 2 — East African Breweries (monitorable)

Completion has already slipped from “second half 2026” toward December, with multiple Kenyan suits escalated to the Chief Justice as of July 2026. Three ways this hurts: the deal breaks and the growth stub disappears from the 2026 bridge; or it closes and borrowings sit at ~3.6x against a 2.5–3.0x policy into a rating review; or it closes and the Kenyan shilling, Ugandan shilling and Tanzanian shilling translate the earnings away — currencies nobody can hedge at reasonable cost. The 35% of East African Breweries that stays in outside hands (Kenya granted a mandatory-offer exemption, so the minorities remain) means we consolidate the revenue and share the profit.

Tripwire: the Kenyan court docket, the completion press release, and net-debt-to-earnings disclosed at the full-year results; plus the purchase-accounting note when it publishes.

Failure narrative 3 — The one we cannot watch (NO TRIPWIRE)

Asahi never discloses gross profit per litre by product, and never discloses how much of any duty change it retains versus passes through. Neither figure exists at any reporting frequency, in any venue, ever. If the non-alcoholic line is structurally lower-margin than beer — plausible, since it carries no excise but also commands a lower shelf price and runs on shorter production batches — then the growth we were originally hunting was *value-destructive growth*, and we would never have found out. Worse: if we re-enter on a mix thesis and the mix arithmetic runs against us, the evidence would first surface in a full-year margin bridge twelve-plus months later, blended together with currency moves and the African acquisition, and would be **unattributable** — we would not be able to tell we were wrong, only that we lost money.

Unknown-unknown class: no native disclosure plane for the driver entity. The thing that actually determines whether we make money (product-level unit economics) is not reported at any level; the finest reporting grain available is the segment. This class has a sibling here that makes it worse: **the private-competitor blind spot** — the most important competitor in this specific category, Suntory Holdings, is not listed and discloses nothing, so we cannot even triangulate from the other side of the market.

This is the failure we could not build a sensor for, and we should say so out loud rather than pretend the monthly volume series covers it. It does not. It covers volume; it does not cover profit per unit.

The reflexive and structural leg

- **Our own size is irrelevant to the market and that is a fact, not a comfort.** A 1% starter on ~\$3.4m of deployable capital is ~\$34k ≈ ¥5.1m, against ¥11.65bn of daily volume — **0.04% of a day**. We cannot move this stock, we will never be trapped in it, and our published-ladder limit

of 1% of daily volume is not remotely binding. The reflexive risk here is therefore **entirely internal**: nothing external stops us from sizing on conviction alone.

- **We must not bid into flow we ourselves predict.** If our own mix thesis is right, the re-rating we expect lands the stock around ¥1,750–1,850. Any reopen level we set must sit **below** that, or we are buying our own forecast at our own forecast price. The reopen band below does.
- **Two of our own rules pull in opposite directions here, and one wins on a technicality worth stating.** Our rule for quality names at fair value says a fair price justifies a small starter rather than waiting. Our court rule says staying flat requires a *named* kill, not a shrug. We have a named kill — the non-alcoholic line is immaterial — so flat is **licensed, not defaulted into**. But note precisely what that kill covers: it kills *this thesis*. It is not a judgment that Asahi is a bad holding, and it must not be carried into a future court on different grounds.
- **The currency leg would be an undeclared second position.** Buying this in dollars is a long-yen bet stacked on the equity. Funding it in yen — which the original brief proposed — is the reverse: an outright **short-yen position sized to the whole equity stake**, taken without ever writing it down as a position. Either way it must be declared and sized on its own merits, not smuggled in as “funding.”
- **Tax interaction:** 2026 is a loss-harvesting year against a large realised gain. Opening a new long in September whose loss branch only resolves in 2027 puts the loss in the wrong tax year. This does not create an edge for staying flat, but it removes one of the usual arguments for a starter position.

If this position loses money, the most likely reason will be that we re-entered on the October mix read, and the duty cut turned out to be passed straight through to the shelf — volumes up, profit per litre quietly down — so what we bought as premiumisation was a price war we had no way to see until the margin bridge arrived a year later, blended with currency and Africa.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Tape at ¥1,653; 52-week range ¥1,452.50–¥1,914	Evidence pack vs. an independent re-fetch by the red bench (¥1,651.50, prior close ¥1,649.50)	Two sources agree within 0.1%. Our usual guard against fake off-hours prints is satisfied.	Yes
Non-alcoholic is a small, slow-growing line	Company’s own monthly volume disclosure (May 2026) and first-half release	Dry Zero 105% of prior year ; beer-adjacent category +1% in H1; base under 2% of group. This is the whole kill, and it is primary-sourced.	Yes
“The 20%-by-2025 target was silently pushed to 2030 — the company is running at half its own plan” (red bench)	Blue bench pinned both targets’ metric, base, threshold and announcement date	Red bench error. Two different targets were compared. The 2020 pledge was 20% of the <i>product line-up</i> (a count of	No — refuted

Claim	How checked	Found	Confirmed?
		products) by 2025; the <i>sales</i> targets were 15% by 2025 and 20% by 2030, and the 2030 figure was already public in May 2022. Against the correct 15% sales denominator, 12.1% is ~81% of plan, not half. Nothing was re-dated.	
“The 1 October tax step destroys our ability to measure substitution through mid-2027” (red bench)	Kirin’s price-revision notice of 20 May 2026 (<u>primary</u>) plus Asahi’s monthly disclosure structure	Red bench error, and a serious one. The notice raises happoshu, new-genre <i>and</i> ready-to-drink prices, cuts beer, and explicitly excludes non-alcoholic drinks — they are not in the excise base at all, so they get neither the price move nor the stockpiling distortion. Asahi prints the non-alcoholic line separately every month. The thesis was fully gradeable. Red reached the right verdict by a route that would have failed had Dry Zero printed +40%.	No — refuted
First-half decomposition: +7.7%/–0.6% revenue, +1.5%/–8.5% profit	Re-verified line by line against the company’s <u>H1 2026 release</u>	Arithmetic correct. But tag downgraded : the company prints this decomposition itself, so it is consensus information, not a novel finding. Red over-claimed novelty.	Partial
Second-half hurdle: guidance implies ¥179.65bn vs ¥153.4bn a year ago	¥291bn guide – ¥111.35bn delivered; +17.1% headline, +5.4% against a cyber-adjusted ¥170.4bn	Arithmetic checks.	Yes
“Our number is ¥278–285bn, so guidance misses” (red bench)	Blue bench audit	Red bench error — asymmetry. Red excluded the 1 October beer-duty margin benefit (a tailwind for the company with the highest real-beer share) while including every headwind; and it discounted management’s forward numbers in one finding while leaning on management’s ¥17bn cyber estimate to soften its own	Partial

Claim	How checked	Found	Confirmed?
		hurdle in another. Also, the 2025 base is <i>additionally</i> depressed by an April-2025 pre-price-rise stockpile — which cuts in Asahi's favour. Restated as ¥278–290bn: a defensible low end, not a confident miss.	
Alternative-data channels support the substitution story	Consumer heat and review-velocity detectors	All null or negative. Dry Zero no data, All-Free no data, Craft Boss no data; Kirin Greens Free decaying — the only reading that resolved points down. Filings then superseded all of it.	Refuted as support
Review-velocity detector should have worked	Our own dispatch review	Our own error. The connector was pointed at US retail review channels (Walmart, Amazon) to grade a Japanese convenience-store product . Wrong geography. It degraded because we sent it to the wrong venue, not because the signal is absent. Needs re-dispatch to Rakuten / Amazon.co.jp with a second reading 30+ days later.	No — our error
Detector dispatch list was correct	Comparison of consulted detectors against the case's dispatch atlas	Our own error. Six detectors consulted (forest integrity, housing rents, oil storage, Texas/Pennsylvania entity checks) are not on this case's list; six that <i>are</i> were skipped, including the merger-accounting one with live relevance to the African acquisition. Process failure, no impact on this verdict.	No — our error
Share count and payout	Derived: ¥2.416tn ÷ ¥1,651.50	~ 1.463bn shares ; trailing earnings per share ¥110.02 ⇒ ~¥161bn trailing net profit; dividend ¥62. Correcting a bench slip: red quoted “~48% payout” against <i>trailing</i> earnings — $62 \div 110.02$ is 56.4% . The 48% figure is versus	Partial

Claim	How checked	Found	Confirmed?
		<i>forecast</i> earnings of ¥130 (47.7%). Both are fine; the labels were crossed.	
Valuation is fair, not dislocated	Pack tape + DBS note	15.0x trailing, 12.7x forecast, 3.75% yield, mid-52-week-band, DBS HOLD ¥1,900, consensus ¥2,055.8. Fair. Not a short.	Yes
Europe could be a hidden non-alcoholic leg (blue bench)	Asahi Europe & International's own sustainability page	It carries a 20%-alcohol-free-by-2030 portfolio target and publishes no current share, no growth rate, no margin . Blue bench correctly marked this plausible only and excluded it from the verdict ; H1 also flagged softer European demand. Now open item #9.	No — unresolved
Segment mix Japan 46% / Europe+Asia-Pacific 53%	Attempted verification	Red asserted it; blue could not source it; no structured financial data exists for a Japanese issuer. Now open item #2.	No — unresolved
Live prices, volume bars and the option chain from our broker	Attempted this session	Unavailable — permission denied, non-interactive session . All price statistics below come from two agreeing vendor sources, not from bars we computed. Stated, not skipped.	No — coverage gap

PROPOSED ENTRY BANDS

The courts say NO ENTRY. Position today: FLAT, zero shares. Reopen bands follow.

Reopen A — the mix thesis (this is a NEW thesis, not this one). Trigger: **Japanese beer volume +8% or better year-on-year in BOTH the October and November monthly disclosures, with revenue per litre holding** (i.e. the ¥9.10 duty cut retained as margin, not handed to the shelf), confirmed by the Q3 print. That would make Asahi a premiumisation-and-mix story on the back of the highest real-beer share in Japan, with Suntory publicly conceding the category by upgrading Kinmugi to real beer. → If it triggers, this goes to a **fresh court**. **Do not carry today's flat into that court, and do not carry today's thesis into it either.** No automatic buy. Fails if revenue per litre drops more than ~4% (the duty cut at shelf) — that is a price war, and we pass.

Reopen B — the valuation case (red bench, condition iv). Trigger: a close **below ¥1,452.50** (the 52-week low) on an African-deal or tax-step scare. Red's explicit level is "the ¥1,400s." Reference math at ¥1,400: **10.8x forecast earnings of ¥130, 4.43% yield.** That is a different argument — cheapness, not substitution — and also owes its own court.

Reopen C — the evidence that would revive the original thesis (all three required). (i) Disclosure of the **zero-alcohol-only** share of Japanese revenue and gross profit per litre for Dry Zero versus Super Dry, showing zero-alcohol above ~6% of Japanese revenue at comparable-or-better profit per litre; (ii) the 2025 outturn against the 15% low-and-no-alcohol sales target; (iii) second-half organic profit flat or better **with non-alcoholic named as a driver in the results release itself — not in a transcript.**

What does NOT reopen this: the stock reaching DBS's ¥1,900 or consensus ¥2,055.8 without the mix read. **We do not chase. If it goes there without the volume evidence, we were simply not involved, and we log that as the cost of being right about the thesis and out of the stock.**

Sizing, if and only if a future court licenses entry: starter **0.5–1.0% of book** (~\$17–34k on ~\$3.4m deployable $\approx 0.04\text{--}0.09\%$ of one day's volume — market impact is not a constraint at any size we would take), in calendar tranches. **Buy it in dollars and declare the yen exposure as its own position. Do not fund it in yen** — that converts the trade into a short-yen bet sized to the full equity stake, undeclared.

Catalyst dates: 1 Oct 2026 (tax unification — statutory, certain); ~10 Nov 2026 (first clean post-change monthly data); 5 Nov 2026 (Q3 print — **date unconfirmed**, derived from a data vendor, no company release names it); ~10 Dec 2026 (second post-change monthly data); East African Breweries completion, targeted second-half 2026 and now slipping toward December, litigated.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1400.0 (deck-provisional: red bench's explicit reopen level; 10.8x forecast EPS 130 and 4.43% yield)
- dated pack 2502.TI2026-10-01: 2502.T: Japan liquor tax unification: beer duty -9.10 yen/350ml (-14.4%), happoshu/new-genre +7.26 (+15.5%) to converge at 54.25 (date confi
- dated pack 2502.TI2026-11-05: 2502.T: Q3 FY2026 results - vendor-derived date, no company release names it (date confirmed=False)
- dated pack 2502.TI2026-11-10: 2502.T: October monthly volume disclosure - first clean post-tax-step read on volume AND revenue per litre (date confirmed=False)
- dated pack 2502.TI2026-12-10: 2502.T: November monthly volume disclosure - second post-step read; both required for Reopen A (date confirmed=False)
- dated pack 2502.TI2026-12-31: 2502.T: EABL completion target after slipping from 2H26; Kenyan suits at the Chief Justice since July 2026 (date confirmed=False)

What remains unverified

1. **Zero-alcohol-only share of Japanese revenue, and gross profit per litre for Dry Zero vs Super Dry.** Never disclosed, at any frequency, in any venue. This is the load-bearing unknown behind Failure Narrative 3. *Estimate: 1.5–2.5% of Japanese revenue; gross profit per litre 0.9–1.15x Super Dry (no excise burden, but lower shelf price and shorter runs). Confidence 0.6.*
 2. **Segment revenue mix (Japan 46% / Europe + Asia-Pacific 53%).** Asserted by one bench, unsourced by the other. Draggable now from the H1 release's segment table. *No estimate needed.*
 3. **Q3 FY2026 print date.** Vendor-derived, unconfirmed by any company release; two fetch attempts blocked. *Estimate: 5–13 Nov 2026; confidence 0.7 that it lands in that window.*
 4. **East African Breweries completion date and Kenyan litigation outcome.** Slipped from second-half 2026 toward December; suits reached the Chief Justice in July 2026. *Estimate: completion between 1 Dec 2026 and 31 Mar 2027, probability 0.65.*
 5. **Purchase accounting for that deal, and treatment of the retained 35% minority.** Not yet published. *Estimate: minority-interest drag ¥8–14bn per year on attributable profit; goodwill US\$1.4–1.9bn at the 17x paid against a US\$4.8bn total valuation. Confidence 0.5.*
 6. **How much of the ¥9.10/350ml beer duty cut reaches the shelf versus being retained as margin.** A private commercial decision, taken in September, visible only in October data. *Estimate: 55–80% passed through, probability 0.6 — base rate from brewer behaviour at the 2018 and 2020 tax steps plus the structure of Kirin's May notice.*
 7. **The company's 2025 outturn against its 15%-by-2025 low-and-no-alcohol sales target.** Last disclosed reading was 12.1% at H1 2024; no 2025 figure published. *Estimate: 13.0–14.5%, confidence 0.6, extrapolating the disclosed glidepath.*
 8. **Full-year 2026 organic core operating profit, excluding currency and the acquisition, against the ¥291bn guide.** Time-gated to the Q3 print and full-year results. *Estimate: ¥278–290bn; probability 0.55 that reported core operating profit lands below ¥291bn.*
 9. **Asahi Europe & International's current alcohol-free share, growth and margin.** The company page carries a 2030 target and publishes no figures at all. *Estimate: 3–6% of European volume, confidence 0.5, from category base rates (non-alcoholic beer runs 5–10% of volume in Spain and the Netherlands, ~3% in the UK).*
 10. **Japanese-market review-cohort delta on Dry Zero.** Our connector was dispatched at the wrong geography and degraded; needs Japanese venues plus a second reading 30+ days out, so it cannot resolve today. *Estimate: recent-cohort sentiment delta –0.1 to +0.2 stars vs lifetime, confidence 0.5 — consistent with a flat-to-slightly-growing category.*
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PRIZE TABLE + VOL READ

Required here because items 1, 4, 5, 6 and 8 are genuinely time-gated or private. Horizon: **12 months, to September 2027.** Anchor: the market price, ¥1,653.

#	Scenario	What has to happen	Prob.	Price
A	Mix works	Duty cut largely retained as margin; Japanese beer volume and revenue per litre both up; Super Dry share gains; 2027 profit ¥310bn+; Africa closes clean	0.22	¥1,980
B	Guidance met	¥285–291bn delivered, currency neutral, Africa closes, nothing breaks	0.30	¥1,760
C	Modest miss, no re-rating	Our ¥278–290bn range, currency tailwind fades, stock goes nowhere	0.26	¥1,650
D	Africa / leverage stress	Deal slips, repriced or closes into a rating review at ~3.6x; African currencies translate the earnings away	0.14	¥1,430
E	Tail	Duty cut fully passed through into a price war, plus cyber/privacy litigation tail, plus an emerging-market write-down	0.08	¥1,220

Expected value = ¥1,690. That is **+2.2% on price**, plus ~3.75% dividend $\approx$ **+6% total return in yen** over twelve months, before any currency move.

Anchor-and-adjust check: our expected value sits 2.2% above spot — inside the band where we do not claim a distinct mechanism. **We are not asserting an edge, and the table says so.** For a US-dollar investor the yen leg is larger than the entire expected equity return, which is the real point.

Volatility read and the expression arithmetic

Dispersion of our own table: standard deviation = **¥218 = 13.2% of spot** over one year.

Realised volatility (proxy, because we could not pull bars): using the extreme-value estimator on the 52-week range, $\ln(1914 / 1452.5) \div 1.665 = 16.6\%$; a single-window reading of this kind runs low, so the honest band is **17–22% annualised**.

So: our scenario spread (13.2%) is NARROWER than the stock's own realised movement (17–22%). We do not have a volatility view that justifies buying optionality — we would be paying ~20 vol for a 13 vol distribution.

Strike math, priced off the table itself — value of a one-year call, $C = \sum p_i \times \max(S_i - K, 0)$:

- **K = ¥1,800:** only scenario A pays. $0.22 \times ¥180 = \text{¥}39.6$ (2.4% of spot). A 20-vol model call at this strike is roughly ¥90–100. **We would pay ~2.3x our own valuation. No.**
- **K = ¥1,700:** A pays $¥280 \times 0.22 = ¥61.6$; B pays $¥60 \times 0.30 = ¥18.0$. Total **¥79.6** (4.8% of spot), against a model value near ¥125. **Also no.**

The arithmetic actually points the other way — toward selling, not buying. A one-year put struck at ¥1,400: only scenario E pays, $0.08 \times ¥180 = \text{¥}14.4$, i.e. 1.0% of the strike. A 20-vol model put at that strike (forward ~¥1,608 after the 3.75% dividend) is worth roughly **¥43** — about **3x our number**. On our own table, that is the one attractive-looking trade in the name.

We are not doing it, for three reasons, in order of force:

1. **We could not obtain a single real quote.** Broker access was denied this session, so the ¥43 is a **model output, not a chain midpoint**. Our own rule — learned the expensive way when an underlying volatility feed read 71 against a chain that was actually 101 — is that we never act on a modelled or aggregate volatility number in place of chain-level midpoint quotes. Japanese single-stock options are also thin, and we have no evidence this chain is tradeable at any size. **Implied-volatility percentile: unavailable. Gap.**
2. **Selling that put pays us to be assigned at exactly our own reopen level.** It converts Reopen B from a considered re-court into a mechanical purchase, and it means bidding into the very move we forecast. That breaks our rule against buying into our own predicted flow.
3. **Tax overlay.** 2026 is a harvest year against a large realised gain. A twelve-month expiry lands the loss branch in **2027**, deferring it out of the year we need it. Under our rule, a structure whose loss branch misses the intended tax year is excluded during a harvest year unless the edge is numerically dominant. A 3x theoretical richness on an unquotable, illiquid chain is not dominant.

Bimodality note — and this is the sharpest thing in the section. The table is fork-dated. Most of the dispersion is not spread across the year: it sits between **1 October and the December monthly data**, when the pass-through question resolves. The gap between the “margin retained” branch (¥1,980) and the “price war plus Africa slips” branch (¥1,430) is **¥550 = 33% of spot, resolving inside about three months**. An annualised standard deviation of 13.2% is therefore the wrong unit — it flattens a genuine fork into a smooth distribution. If a tradeable chain existed, the correct expression would be **short-dated, spanning 1 October to mid-December**, and it would still fail on point 1 above.

INSTRUMENT OUTPUT OF THIS ARITHMETIC: NONE. Not calls (we would overpay by 2.3x). Not the put sale (unquotable, wrong assignment level, wrong tax year). Stock only — and no stock today.

Primary sources relied on: Asahi H1 2026 results · Kirin price-revision notice, 20 May 2026 · Asahi FY2025 results, delayed to 8 July 2026 · East African Breweries acquisition notice, 17 Dec 2025

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(iv), a valuation court on entirely different grounds"}, {"level": 1400.00,
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the omission-cost log so this flat call gets graded"}], "event_gates":
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series: beer, beer-adjacent and the separately-printed non-alcohol line, WITH
revenue per litre alongside volume - volume alone would mislead"}, {"forms":
["TDnet timely disclosure", "Q3 FY2026 tanshin"], "why": "Q3 print confirms
or breaks the October mix read and the FY26 core-OP hurdle of 179.65bn yen in
H2"}, {"forms": ["Company PR - EABL completion", "Kenyan High Court docket"],
"why": "close already slipped toward December and is litigated; break, delay
or close-into-3.6x-leverage are three different outcomes"}, {"forms":
["FY2026 results", "purchase price allocation note"], "why": "goodwill and
treatment of the retained 35% EABL minority; the merger-accounting detector
we skipped"}, {"forms": ["Asahi Europe & International disclosure"], "why":
"currently publishes a 2030 alcohol-free target and zero actual figures; any
real number fires"}], "catalyst_dates": [{"date": "2026-10-01", "what":
"Japan liquor tax unification: beer duty -9.10 yen/350ml (-14.4%),
happoshu/new-genre +7.26 (+15.5%) to converge at 54.25", "confirmed": true},
{"date": "2026-11-05", "what": "Q3 FY2026 results - vendor-derived date, no
company release names it", "confirmed": false}, {"date": "2026-11-10",
"what": "October monthly volume disclosure - first clean post-tax-step read
on volume AND revenue per litre", "confirmed": false}, {"date": "2026-12-10",
"what": "November monthly volume disclosure - second post-step read; both
required for Reopen A", "confirmed": false}, {"date": "2026-12-31", "what":
"EABL completion target after slipping from 2H26; Kenyan suits at the Chief
Justice since July 2026", "confirmed": false}], "immediate_entry": null,
"unverified": [{"item": "Zero-ABV-only share of Japan revenue and gross
profit per litre, Dry Zero/Asahi Zero vs Super Dry", "instrument":
"Integrated report / sustainability data book PDF pull; IR question at Q3 -
never disclosed at any frequency in any venue", "drainable_now": false,
"estimate": {"range": "1.5-2.5% of Japan revenue; GP/litre 0.9-1.15x Super
Dry", "basis": "BAC category +1% H1 and Dry Zero 105% YoY on a sub-2%-of-
group base; no-excise cost relief offset by lower shelf price and shorter
production runs", "p": 0.6}}, {"item": "Segment revenue mix (Japan 46% /
Europe+APAC 53%) - asserted by red, unsourced by blue", "instrument": "H1-
2026 results release segment table (proxy-fetch, direct 403); no XBRL for a
Japanese issuer", "drainable_now": true, "estimate": null}, {"item": "Q3
FY2026 print date - yfinance-derived, unconfirmed by any company PR",
"instrument": "Asahi IR calendar / TSE TDnet / kabutan with full browser
fingerprint (Sec-Ch-Ua, Sec-Fetch-*, Referer) - two prior attempts 403'd",
"drainable_now": false, "estimate": {"range": "2026-11-05 to 2026-11-13",
"basis": "Japanese Q3 tanshin base rate is early-to-mid November; FY2025 was
delayed 5 months by the cyber incident so the schedule is not fully
reliable", "p": 0.7}}, {"item": "EABL completion date and Kenyan litigation
outcome", "instrument": "Kenyan High Court docket + Asahi/Diageo completion
PR; walk-around via Nairobi press", "drainable_now": false, "estimate":
{"range": "completion between 2026-12-01 and 2027-03-31", "basis": "announced
2025-12-17 for 2H26 close, already slipped toward December, multiple suits at
the Chief Justice as of Jul-2026; base rate for litigated EM cross-border
closes", "p": 0.65}}, {"item": "EABL purchase accounting (PPA, goodwill) and
treatment of the retained 35% minority", "instrument": "FY2026 results
purchase-price-allocation note (not yet published);
common_control_merger_accounting_detector re-dispatch", "drainable_now":
false, "estimate": {"range": "minority-interest drag 8-14bn yen/yr on
attributable NP; goodwill USD 1.4-1.9bn", "basis": "17x adj. EBITDA paid on a
USD 4.8bn total valuation, 65% acquired with 35% float retained under the
Kenyan mandatory-offer exemption", "p": 0.5}}, {"item": "Pass-through of the
9.10 yen/350ml beer duty cut: shelf price vs retained margin", "instrument":
"Oct-1 walk-around shelf-price capture (konbini/supermarket, beer vs happoshu

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vs NA) plus revenue-per-litre in the October monthly disclosure",
"drainable_now": false, "estimate": {"range": "55-80% passed through to shelf", "basis": "Japanese brewer behaviour at the 2018 and 2020 tax steps; structure of Kirin's 2026-05-20 notice, which raises the substitutes while cutting beer", "p": 0.6}}, {"item": "2025 outturn against the 15%-by-2025 low/no-alcohol SALES target", "instrument": "Sustainability data book / integrated report; IR question - no 2025 figure published", "drainable_now": false, "estimate": {"range": "13.0-14.5% of Japan sales", "basis": "12.1% disclosed at H1-2024 extrapolated on the disclosed glidepath toward the 15% target", "p": 0.6}}, {"item": "FY2026 organic core operating profit ex-FX ex-EABL vs the 291bn yen guide", "instrument": "Q3 print (2026-11-05) then FY2026 results; constant-currency bridge in the company's own release", "drainable_now": false, "estimate": {"range": "278-290bn yen", "basis": "H1 ran -8.5% at constant currency; ~8pt FX tailwind decaying into H2; offset by the Oct-1 beer-duty margin kicker red excluded and the Apr-2025 pre-buy distortion in the base", "p": 0.55}}, {"item": "Asahi Europe & International current alcohol-free share, growth and margin", "instrument": "AEI sustainability disclosure / Asahi European segment commentary - AEI publishes a 2030 target and zero figures", "drainable_now": false, "estimate": {"range": "3-6% of AEI volume", "basis": "European NA-beer category base rates (Spain/Netherlands 5-10% of volume, UK ~3%); H1 flagged softer European demand", "p": 0.5}}, {"item": "Japan-native review cohort delta on Dry Zero", "instrument": "consumer_product_reviews re-dispatched to Rakuten / Amazon.co.jp (US venues were the wrong geography and degraded) plus a second snapshot 30+ days out", "drainable_now": false, "estimate": {"range": "recent-cohort vs lifetime delta -0.1 to +0.2 stars", "basis": "consistent with a flat-to-slightly-growing category; Kirin Greens Free heat DECAYING is the only resolving comparable", "p": 0.5}}}]

ADJUDICATION STAMP — 2026-09-04 (FABLE) — PAIRED NA-SUBSTITUTION RULING

THESIS REJECTED on both expressions; no entry, size 0; both FLATs licensed by named novel kills. Neither listed vehicle collects the observed NA-substitution economics: the loved SKUs book to PRIVATE Suntory Ltd (2587's Japanese perimeter kill stands; its price gate was OVERTURNED — 8.1x EV/OP, 1.03x book, debt-free is FAIR, and fairly-paid is not a kill), and Asahi's own monthly series prints the NA line at +5% on a sub-2%-of-group base while beer-adjacent ran +1% (the clean kill). Live carry-forwards: 2587's Suntory Oceania consolidation (+69.7% segment) = a displaced NA vehicle — Q3 tanshin ~11/11 pack armed for the zero-alc disclosure that would earn a FRESH court; 2502's Oct-1 beer-tax-unification mix read (packs 10/15 + 11/5) can spawn a NEW premiumisation court that this FLAT does not prejudice; the 2587 debt-free-compounder thesis is filed separately behind an ROE gate (7.03% ≈ cost of equity today). KG: 5 accepted incl. private_parent_holds_the_loved_brand; esg_target_horizon_slip REJECTED as a denominator-swap artifact. Walk-around pre-registered: konbini NA shelf share, disconfirmation-first, graded against the monthlies. Full ruling:
desk/data/court_artifacts/NA_SUBSTITUTION_ADJUDICATION_202609040500.md.